Table 71.5 Size Statistics

Description	Bull Market	Bear Market
Tall pattern performance	–18%	–30%
Short pattern performance	–12%	–17%
Median height as a percentage of breakout price	25.3%	31.0%
Narrow pattern performance	–15%	–20%
Wide pattern performance	–15%	–27%
Median width	18 days	18 days
Short and narrow performance	–12%	–16%
Short and wide performance	–12%	–19%
Tall and wide performance	–19%	–33%
Tall and narrow performance	–17%	–26%

Height. Tall patterns perform better than short ones. Why this happens I haven't a clue, but it serves as a good rule for most chart pattern types. I measured height by taking the difference between the peak at the V-top and the bottom of the pattern (left side, where the pattern starts), divided by the breakout price. If the result is above the median shown in the table, then you have a tall pattern. Tall patterns perform substantially better than short ones.

If you are trying to calculate the height to breakout price before the breakout, then divide the pattern's height by the price of a 38.2% retrace of the upward move (that is, take 38.2% of the AB rise in Figure 71.3 and use that in the calculation). Compare your result with the median in the table to see if your V-top is short or tall. It's worth the effort to exercise your calculator.

Width. Width doesn't give any advantages to trading in bull markets, but wider patterns perform better in bear markets. Even in bull markets, I'd stick to trading wide patterns. Why? Because the median performance (not listed) is one percentage point better if the pattern is wide (12% versus